UNSHAKEABLE FINANCIAL PARTNERS

WRITTEN FOR CPAS AND FINANCIAL ADVISORS

A CPA's Guide to the Corporate Flex Method

A plain-language reference on how business-owned cash-value life insurance is taxed, where it fits, and where it doesn't.

What it is

Corp FlexMethod is a planning approach, offered through the Stafford Corporation / US Life network, that uses a business-owned cash-value life insurance policy (often indexed universal life) on one or more key people. It is life insurance, not a security or an investment product. Typical uses are key-person protection, buy-sell funding and a supplemental retirement benefit for key employees.

Tax treatment in brief

Premiums	Generally not deductible when the business is a direct or indirect beneficiary (IRC 264).
Inside build-up	Not taxed annually while the contract meets the IRC 7702 definition of life insurance.
Death benefit	Generally excluded from income under IRC 101(a), but employer-owned contracts must meet the IRC 101(j) notice-and-consent and exception rules.
Loans	Generally not taxable while the policy is in force and not a MEC (IRC 7702A). A lapse or surrender with a loan outstanding can create taxable income. Loans accrue interest.
C corporations	Cash value growth and death proceeds can affect earnings and profits; review with the client's tax advisor.
Retention benefit	Nonqualified deferred compensation under IRC 409A; benefits are taxable to the employee when paid and deductible to the employer at that time. Policy values are a general asset of the business.
Policy reviews	An existing policy can sometimes be exchanged under IRC 1035, but surrender charges still apply and a new policy has new costs, a new surrender period and new contestability.

Where it doesn't fit. It doesn't replace a 401(k) or SEP, and it isn't a short-term cash vehicle: costs are highest early and surrender charges apply. It requires 10 or more years of steady funding and a business with stable profits.

How we work with you

We prepare insurance-company illustrations showing guaranteed and non-guaranteed values at conservative assumptions, with costs disclosed, and send them to you before the client decides. Tax and legal structure is your call and the client's attorney's. We're glad to join a three-way call.

Want to see how this looks for you?

Book a free 15-minute call with Tracy Hoth, a licensed insurance agent: unshakeablefinancial.com · (435) 232-3234. No obligation. If it isn't a fit, we'll tell you.

Important information. For educational purposes only; not tax, legal or investment advice. Consult your own tax and legal advisors. Indexed universal life (IUL) and other cash-value life insurance is life insurance, not an investment, a bank account or a security, is not FDIC insured, and is subject to medical and financial underwriting. Policies have fees and charges, which are highest in the early years, and surrender charges apply for a number of years. Indexed interest credits are subject to caps and participation rates that the insurance company can change, and may be zero; the 0% floor applies only to index credits, and fees can still reduce cash value. Illustrations are hypothetical and not guaranteed; always review the guaranteed values. Policy loans and withdrawals accrue interest, reduce cash value and death benefit, and may be taxable if the policy lapses, is surrendered or is a modified endowment contract (MEC). A policy may require additional premium to stay in force. Guarantees are based on the claims-paying ability of the issuing insurance company. Trace (Tracy) Hoth is a licensed

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